

ENDORSEMENT HO-0521 (ED. 01-24)

Water Back-Up and Sump Discharge or Overflow

Form Number: HO-0521

Edition Date: 01-24

Policy Line: homeowners

Effective Date: January 1, 2024

Supersedes: None - new form

ATTACHING TO AND FORMING PART OF THE POLICY SHOWN IN THE DECLARATIONS. ALL OTHER TERMS AND CONDITIONS REMAIN UNCHANGED.

1. PURPOSE AND SCOPE

This endorsement provides limited coverage for loss caused by water which backs up through sewers or drains, or which overflows or is discharged from a sump, sump pump or related equipment. Loss of this kind is excluded under Form HO-0304 by exclusion E-19 and is covered only to the extent set out here.

2. COVERAGE GRANT

2.1 We cover direct physical loss to covered property caused by water or waterborne material which backs up through sewers or drains serving the described dwelling, or which overflows or is discharged from a sump, sump pump or related equipment, even where the overflow results from mechanical breakdown of the pump.

2.2 Coverage under this endorsement applies only where the dwelling is equipped with a sump pump fitted with a functioning secondary power source capable of operating the pump for not less than eight (8) hours in the event of a mains power failure. Absence of a secondary power source at the time of loss voids coverage under this endorsement.

3. EXCLUSIONS APPLICABLE TO BACK-UP AND OVERFLOW

3.1 We do not cover loss described in the exclusion table below. Codes in the E-40 series are specific to this endorsement.

EXCLUSION TABLE 3.1 - BACK-UP AND SUMP OVERFLOW EXCLUSIONS

CODE	EXCLUSION AND DISPOSITION
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E-40	Back-up caused by flood or surface water entering the sewer system. Disposition: Excluded absolutely.
E-41	Back-up occurring while the dwelling is under construction or renovation. Disposition: Excluded absolutely.
E-42	Loss to the sump, sump pump or related equipment itself. Disposition: Excluded absolutely.
E-43	Back-up caused by roots, debris or blockage the insured was on notice of. Disposition: Excluded absolutely.
E-44	Back-up or overflow caused by the failure of the insured to maintain, service or test the sump pump in accordance with the manufacturer schedule. Disposition: Excluded absolutely.
E-45	Back-up originating from a sewer or drain that does not serve the described dwelling. Disposition: Excluded absolutely.
E-46	Loss caused by a sump pump discharge line that was not disconnected before a freeze. Disposition: Excluded absolutely.
E-47	Mould, fungus or wet rot resulting from a back-up. Disposition: Excluded above \$5,000.
E-48	Loss of use exceeding thirty days following a back-up. Disposition: Excluded absolutely.

E-49 Back-up in a dwelling with a history of two or more prior back-up claims in five years.
Disposition: Excluded unless remediation certified.

Note: E-44 turns on maintenance records. Where the insured produces a service record consistent with the manufacturer schedule, E-44 does not apply and the loss is adjudicated under Clause 2.1 even where the pump ultimately failed.

4. CONDITIONS

4.1 The insured must retain the sump pump and its power source following a loss and make them available for inspection and testing.

4.2 The insured must provide service records for the sump pump covering the twenty-four (24) months preceding the loss where such records are requested by us.

5. LIMIT AND DEDUCTIBLE

5.1 The most we will pay under this endorsement is twenty-five thousand dollars (\$25,000) in the aggregate for all losses occurring in any one policy year, regardless of the number of back-up events. This limit is part of, and not in addition to, the Coverage A limit.

5.2 A deductible of one thousand dollars (\$1,000) applies to each loss under this endorsement.

END OF FORM HO-0521 ED. 01-24.